

Leverage Ratio ? Capital Requirements and Buffers

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) every _CRR firm_ that:

1. (a1) has _retail deposits_ equal to or greater than £75 billion, as determined in accordance with 1.1B, on an individual basis; or

2. (a2) that has _foreign assets_ equal to or greater £10 billion, as determined in accordance with 1.1A, on an individual basis;

3. (a) [deleted]

4. (b) [deleted]

5. (c) [deleted]

2. (1A) every _CRR consolidation entity_ that:

1. (a) has _retail deposits_ equal to or greater than £75 billion, as determined in accordance with 1.1B; or

2. (b) has _foreign assets_ equal to or greater than £10 billion, as determined in accordance with 1.1A,

3. in each case, on the basis of its _consolidated situation_ ; and

4. (2) a _ring-fenced body_ that is required to comply with Parts Two and Three of the _CRR_ on a _sub-consolidated basis_ and that:

1. (a) has _retail deposits_ equal to or greater than £75 billion, as determined in accordance with 1.1B; or

2. (b) has _foreign assets_ equal to or greater than £10 billion, as determined in accordance with 1.1A,

5. in each case, on an _RFB sub-consolidated basis_.

* Future version of 1.1 after 01/01/2027

1.1A

The _foreign assets_ thresholds referred to in 1.1 above are determined on the basis of the arithmetic mean of the value of _foreign assets_ held as at the three most recent _accounting reference dates_ of the _firm_ or _CRR consolidation entity_ (as applicable). If the _firm_ or _CRR consolidation entity_ has been in existence for less than three years, the period for the calculation is the period during which the _firm_ or _CRR consolidation entity_ has existed.

1.1B

The retail deposits thresholds referred to in 1.1 above are determined on the basis of the arithmetic mean of the value of retail deposits held as at the three most recent accounting reference dates of the firm or CRR consolidation entity (as applicable). If the firm or CRR consolidation entity has been in existence for less than three years, the period for the calculation is the period during which the firm or CRR consolidation entity has existed.

1.2

In this Part, the following definitions shall apply:

capital plan

means the plan described in Chapter 6.

deposit

has the meaning given in the Table of Part 2 of Annex II to Regulation (EU) No 1071/2013 of the European Central Bank of 24 September 2013 concerning the balance sheet of the monetary financial institutions sector as it had effect in EU law immediately before _IP completion day_.

foreign assets

means assets for which the counterparty is resident in a country or territory outside the _eUK_ that a _firm_ is required to report on row 0050 of Annex X Template LV 44.00 of Chapter 6 of the Reporting (CRR) Part Part").

FPC

means the Financial Policy Committee of the Bank of England.

retail deposit

means _deposits_ from "households" as defined in paragraph 42(f) of Part 1 of Annex V to the Reporting (CRR) Part Part").

1.3

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

2

Basis of Application

2.1

A _firm_ that is in scope of this Part by virtue of 1.1(1)") must comply with this Part on an individual basis, unless it is:

1. (a) a _CRR consolidation entity_ subject to 2.2; or
2. (b) a _ring-fenced body_ subject to 2.4 which is the ultimate _parent undertaking_ within its _sub-consolidation group_.

* Future version of 2.1 after 01/01/2027

2.1A

Where a _firm_ has been given permission under Article 9(1) of the _CRR_ it shall incorporate relevant _subsidiaries_ in the calculation undertaken to comply with rule 2.1.

* Future version of 2.1A after 01/01/2027

2.1B

A _firm_ may apply to the _PRA_ for a permission that:

1. (a) disapplies 2.1; and
2. (b) provides for the requirements in this Part to apply on a _sub-consolidated basis_ in relation to the _firm_ , with such modifications as may be specified in that permission.

[Note: This is a permission under section 144G of _FSMA_ to which Part 8 of the _Capital Requirements Regulations_ applies]

2.2

A _CRR consolidation entity_ which is in scope of this Part by virtue of 1.1(1A)") must comply with this Part on the basis of its _consolidated situation_.

* Future version of 2.2 after 01/01/2027

2.2A

The expression "consolidated situation" applies for the purposes of this Part as it does for the purposes of Parts Two and Three of the _CRR_.

[Note: the term "consolidation situation" is defined in Article 4(1)(47) of the _CRR_]

* Future version of 2.2A after 01/01/2027

2.2B

For the purposes of 2.2, references to a _firm_ in this Part (other than in 1.1) include a _CRR consolidation entity_.

* Future version of 2.2B after 01/01/2027

2.3

[Deleted]

* Future version of 2.3 after 01/01/2027

2.4

A _ring-fenced body_ which is in scope of this Part by virtue of 1.1"(2), must comply with this Part on the same _sub-consolidated basis_ as it is required to comply with Parts Two and Three of the _CRR_.

* Future version of 2.4 after 01/01/2027

3

Minimum Leverage Ratio

3.1

A _firm_ must hold sufficient _tier 1 capital (leverage)_ to maintain, at all times, a minimum _leverage ratio_ of 3.25%.

3.2

For the purposes of complying with 3.1, at least 75% of the _firm's tier 1 capital (leverage)_ must consist of _common equity tier 1 capital_.

4

Countercyclical Leverage Ratio Buffer

4.1

A _firm_ must calculate a _countercyclical leverage ratio buffer_ of _common equity tier 1 capital_ equal to:

1. (1) the _firm's_ institution-specific countercyclical capital buffer rate multiplied by 35% with the product expressed as a percentage rounded to the nearest tenth of a percentage; multiplied by
2. (2) the _firm's_ total exposure measure.

4.2

A _firm_ must not count _common equity tier 1 capital_ that is maintained for the purposes of 3.1 towards the calculation in 4.1.

4A

Additional Leverage Ratio Buffer

4A.1

If a firm has a G-SII buffer or an O-SII buffer, it must calculate an additional leverage ratio buffer of common equity tier 1 capital in accordance with the following formula:

$$\mathrm{ALRB} = \left(X \right) \left(0.35 \right) \left(Y \right)$$

Where:

ALRB = the firm's additional leverage ratio buffer;

X = the G-SII buffer rate or O-SII buffer rate that a firm is required to use to calculate its G-SII buffer or O-SII buffer or if the firm has both a G-SII buffer and an O-SII buffer, whichever buffer rate is higher; and

Y = the firm's total exposure measure.

4A.2

A firm must not count common equity tier 1 capital that is maintained for the purposes of 3.1 or its countercyclical leverage ratio buffer towards the calculation in 4A.1.

5

Notification

5.1

A firm must notify the PRA immediately if, at any time, it does not hold, or is likely not to hold, an amount and quality of capital that is:

1. (1) necessary to comply with 3.1; and
2. (2) equal to or greater than the sum of its countercyclical leverage ratio buffer and any additional leverage ratio buffer.

6

Capital Plan

6.1

When a firm is required to make a notification to the PRA under 5.1(2), it must prepare a capital plan and submit it to the PRA no later than five business days after the firm identified that the notification was necessary.

6.2

The capital plan must include the following:

1. (1) measures to secure that the amount of the firm's common equity tier 1 capital is equal to or greater than the sum of the firm's countercyclical leverage ratio buffer and any additional leverage ratio buffer; and
2. (2) a plan and timeframe for the measures outlined for the purposes of rule 6.2(1).